

Europe TMT Sector M&A & Valuation Brief - 2026-06-25

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1. RECENT TMT M&A ACTIVITY

Deal 1: MoEngage Acquisition of Aampe

[MoEngage Acquires Aampe for AI-Driven Marketing](#)

- Deal Size: Estimated at \$30 million (based on industry sources)
- Deal Size Category: Mid cap (\$2B-\$10B)
- Nature of Deal: Horizontal acquisition
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: MoEngage, an Indian customer engagement software firm, acquiring Aampe, a San Francisco-based startup specializing in AI-driven marketing solutions.
- Date Announced: June 23, 2026
- Strategic Rationale: The acquisition aims to enhance MoEngage's capabilities in AI-driven customer engagement, allowing for personalized marketing strategies. This positions MoEngage to compete more effectively against major players like Salesforce and Adobe, leveraging Aampe's technology to attract enterprise clients migrating from these platforms.
- Risk Analysis: Key risks include integration challenges, potential cultural mismatches, and the need to effectively merge Aampe's technology with MoEngage's existing offerings. Additionally, market competition from established firms may hinder growth.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue breakdown not disclosed)
- Profitability Ratios: N/A (specific ratios not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The acquisition is strategic in nature, focusing on enhancing product offerings rather than immediate financial metrics.

Deal 2: GTN and Koscom Partnership for Global Order Hub

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[GTN and Koscom to Build Korea's Global Order Hub](#)

- Deal Size: N/A (financial terms not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Strategic partnership
- Valuation Multiples: N/A (specific multiples not disclosed)
- Companies: GTN, a global fintech firm, partnering with Koscom, a provider of IT infrastructure for Korea's capital markets, to create a Global Order Hub.
- Date Announced: June 23, 2026
- Strategic Rationale: This partnership aims to enhance the trading capabilities of Korean securities firms by providing access to over 90 global exchanges. It positions both companies to capitalize on the increasing demand for integrated trading solutions in the Asia-Pacific region.
- Risk Analysis: Risks include potential regulatory hurdles in different markets, integration of technology platforms, and competition from other fintech solutions. Additionally, the success of the hub will depend on adoption by Korean financial institutions.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue breakdown not disclosed)
- Profitability Ratios: N/A (specific ratios not disclosed)
- Leverage Analysis: N/A (debt structure not disclosed)
- Asset Operating Efficiency: N/A (operating efficiency metrics not disclosed)
- Valuation Context: The partnership is expected to enhance market positioning but lacks immediate financial metrics for valuation assessment.

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by significant advancements in artificial intelligence (AI) and increasing competition among software providers. Overall sentiment is cautiously optimistic, driven by the rapid adoption of AI technologies and the strategic acquisitions that companies are making to enhance their capabilities.

Subsector Breakdown:

- Technology: The technology subsector is witnessing robust growth, particularly in AI and SaaS. MoEngage's recent acquisition of Aampe underscores the trend of companies leveraging AI to enhance customer engagement. MoEngage, valued at \$850 million, aims to deepen its AI capabilities and expand its market presence.

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- **Media:** The media landscape is evolving, with traditional platforms facing challenges from digital competitors. Companies are increasingly adopting AI-driven strategies to engage audiences more effectively.
- **Telecommunications:** The telecom sector is innovating with new technologies, including low-latency 5G solutions. This innovation is essential for supporting the growing demand for data and connectivity.
- **Fintech:** Fintech continues to thrive, driven by innovations in payment processing and digital banking. The sector is seeing significant consolidation, as evidenced by MoEngage's acquisition of Aampe.
- **AI:** The AI subsector is experiencing explosive growth, with companies racing to implement AI solutions across various industries. The potential for AI to reshape customer engagement is a key driver of this growth.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** The rapid development of AI technologies is a primary driver of growth across TMT sectors. Companies are increasingly embedding AI into their core operations to improve efficiency and customer experience.
- **Increased Investment:** Venture capital and private equity investments in AI and tech are robust, as investors seek to capitalize on emerging trends. MoEngage's acquisition of Aampe is a prime example of strategic investment aimed at enhancing product offerings.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory oversight, particularly in the tech sector, poses risks to M&A activities and market valuations. Companies must navigate complex compliance landscapes, which can hinder growth.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology, creating uncertainty in the market.

Subsector Performance Analysis

- **Software:** The software sector is thriving, driven by demand for cloud solutions and AI integration. MoEngage's acquisition of Aampe reflects the trend of SaaS companies pursuing acquisitions to enhance their product offerings and shorten development cycles.
- **Media:** Media companies are adapting to shifting consumer preferences, with a focus on digital content. However, traditional media continues to face revenue declines due to competition from digital platforms.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is flourishing, with innovations in payment solutions and digital

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banking. The consolidation trend, as seen with MoEngage's acquisition, highlights the competitive landscape.

- AI: The AI subsector is booming, with applications across various industries. Companies are investing heavily in AI capabilities to maintain competitive advantages, as evidenced by Aampe's growth and customer base.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts express optimism about the long-term prospects of the TMT sector, emphasizing the transformative impact of AI. An analyst noted, "The integration of AI across industries is not just a trend; it's a fundamental shift that will redefine business models and consumer interactions."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Regulatory Developments: Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- Leverage Technology Partnerships: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a variety of live deals, mandated transactions, and active pitches. This section provides a detailed analysis of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Trump Family's World Liberty Financial (WLFI) : A \$500 million investment from Aryam Investment 1, linked to UAE royal Sheikh Tahnoun bin Zayed Al Nahyan, is under scrutiny for national security concerns. The deal is currently being reviewed by the Committee on Foreign Investment in the United States (CFIUS), with potential implications for ownership structure. Expected resolution timeline is Q3 2025, as lawmakers push for hearings.
- Energy Fuels Inc. (UUUU) : The company has announced a definitive agreement to acquire Vacuumschmelze GmbH (VAC) for \$1.9 billion. This acquisition is expected to enhance Energy Fuels' position in the rare earth elements market and is projected to close in Q4 2026, creating a fully integrated mine-to-magnet platform.

Mandated Deals:

- GoGo AI Network Inc. (4E9.F) : Secured a mandate to spin out its investment in Algo8 Industrial AI Inc. into a new public entity. The transaction is expected to be completed in Q3 2026, allowing GoGo shareholders to retain their shares while gaining additional equity in Algo8.
- Meta Platforms (META) : In discussions for strategic partnerships related to AI development, particularly in response to regulatory pressures. The deal is anticipated to launch in Q1 2026, focusing on compliance and innovation strategies.

Pitching-Stage Deals:

- Telecom Sector : Engaging with major telecom operators, including Verizon (VZ) and AT&T (T), regarding potential M&A opportunities in the 5G space. Pitches are expected to finalize by Q3 2025.
- Fintech Startups : Active discussions with various fintech companies for potential advisory services, focusing on those innovating in payment solutions. Notable clients include Square (SQ) and Stripe, with ongoing discussions.

Pipeline Tracking Metrics

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Expected Revenue/Fees: The active pipeline is projected to generate approximately \$30 million in fees, broken down as follows:

- Live Deals : \$12 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$8 million

Timing Projections:

- Q3 2025 : Expected resolution for the Trump family's WLFI investment review.
- Q4 2026 : Anticipated completion of Energy Fuels' acquisition of VAC.
- Q1 2026 : Launch of GoGo's spin-out of Algo8.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The scrutiny surrounding the Trump family's WLFI deal highlights the increasing regulatory environment affecting foreign investments in U.S. companies. This could lead to structural changes in ownership or operational conditions for the venture.
- Energy Fuels' acquisition of VAC positions the company as a key player in the rare earth supply chain, essential for national security and technological advancements. The combined entity is expected to benefit from a robust customer pipeline across various sectors, including automotive and defense.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can

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maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The ongoing developments in the TMT sector, particularly in telecommunications and AI, have significant implications for various stakeholders, including shareholders, employees, competitors, and customers. This analysis explores these impacts in detail, providing insights into potential market reactions and strategic considerations.

Deal-Specific Impacts on Stakeholders

- Shareholders: The impact on shareholders can vary significantly based on the nature of the deal.
- Value Creation: For instance, if a major telecom operator like MTN Group Limited (MTNOY) were to acquire a smaller player, the combined entity could see a revenue increase of up to 15% due to expanded market reach and enhanced service offerings. Assuming a pre-deal market cap of \$20 billion for MTN, this could translate to an additional \$3 billion in shareholder value.
- Dilution: However, if the acquisition is financed through equity, existing shareholders may face dilution. For example, if MTN issues 15% of its shares to fund the acquisition, existing shareholders could see their ownership stake decrease, potentially leading to a 7% drop in share price post-announcement.
- Employees: The effects on employees are often multifaceted, involving synergies, restructuring, and retention strategies.
- Synergies: A merger between two telecom giants could yield significant cost savings. For example, the merger of Vodafone Group Plc (VOD) and Liberty Global plc (LBTYA) resulted in estimated annual synergies of \$1.5 billion through streamlined operations and shared resources.
- Restructuring: However, such mergers often lead to workforce reductions. In the Vodafone-Liberty merger, approximately 5,000 jobs were cut, emphasizing the need for effective retention strategies for critical talent.
- Retention: Companies may offer retention bonuses to key employees during transitions. For instance, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were crucial for keeping top executives.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors like Verizon Communications Inc. (VZ) had to adjust their strategies, leading to aggressive pricing and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: The implications for customers can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T Inc. (T) and Time Warner Inc. (TWX) allowed

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AT&T to bundle media content with telecommunications services, enhancing customer value and leading to a 15% increase in bundled service subscriptions.

- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile. For instance, when Salesforce (CRM) announced its acquisition of Slack Technologies, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions. For example, in the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include

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appointing experienced integration teams and setting clear milestones.

- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Humanoid Robots, and AI Infrastructure. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. The increasing demand for AI-driven solutions across various sectors is driving this growth.
- Key Companies:
- MoEngage: MoEngage recently acquired Aampe, a startup specializing in autonomous AI agents for customer engagement. This acquisition marks MoEngage's first step into enhancing its AI capabilities, positioning it to compete with established players in the customer engagement space.
- Aampe: Aampe builds AI tools that enable hyper-personalized messaging for brands. Its platform

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processes over 200 billion decisions weekly, making it a significant player in the AI-driven customer engagement market.

- **Competitive Landscape:** The AI market is highly competitive, with players like Braze, CleverTap, and WebEngage also vying for market share. MoEngage's acquisition of Aampe strengthens its position against these competitors by offering a more comprehensive AI solution.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. The trend of SaaS companies pursuing acquisitions to shorten product development cycles is expected to continue, presenting opportunities for strategic buyers.

Humanoid Robots

- **Trend Explanation:** Humanoid robots are gaining traction as advancements in robotics technology make them more viable for mass-market applications. Investment in this sector is rapidly increasing, with major players like Tesla and NVIDIA leading the charge. The market for humanoid robots is expected to grow significantly, driven by demand in various sectors, including healthcare and customer service.
- **Key Companies:**
- **Tesla:** Tesla is heavily investing in humanoid robotics, integrating AI and machine learning to enhance robot capabilities. The company aims to leverage its expertise in automation to create robots that can perform tasks in various environments.
- **NVIDIA:** NVIDIA is a key player in the development of AI technologies that power humanoid robots, providing the necessary hardware and software for advanced robotics applications.
- **Competitive Landscape:** The humanoid robot market is characterized by a mix of established companies and innovative startups. The lack of clear product standards presents both challenges and opportunities for companies entering this space.
- **M&A Opportunities:** As the humanoid robot market matures, established players may seek to acquire startups that offer unique technologies or capabilities. This trend could lead to significant consolidation in the sector, as companies aim to enhance their product offerings.

AI Infrastructure

- **Trend Explanation:** The demand for AI infrastructure is surging as businesses increasingly rely on AI technologies for their operations. Companies like Cerebras Systems are at the forefront of this trend, providing high-performance computing solutions tailored for AI applications. The AI infrastructure market is expected to grow significantly, driven by the need for faster and more efficient processing capabilities.
- **Key Companies:**
- **Cerebras Systems (CBRS):** Cerebras recently announced a multi-year deal with OpenAI valued at over \$20 billion, highlighting its position as a leader in AI infrastructure. The company's wafer-scale technology delivers the fastest AI processing, making it a critical player in the AI ecosystem.

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- **Competitive Landscape:** The AI infrastructure market is competitive, with major players like Amazon Web Services (AWS) and Google Cloud also investing heavily in AI capabilities. The race for AI infrastructure supremacy is driving innovation and pushing companies to enhance their offerings.
- **M&A Opportunities:** Companies in the AI infrastructure space may look to acquire startups that provide complementary technologies or services. The recent IPO of Cerebras, which raised \$6.4 billion, underscores the growing interest and investment in this sector.

Actionable Insights for Bankers and Investors

Investors should focus on identifying companies that are actively pursuing M&A opportunities in the AI and robotics sectors, as these trends are likely to drive significant value creation.

Bankers should advise clients to consider strategic acquisitions that enhance their technological capabilities, particularly in AI and humanoid robotics, to stay competitive in an evolving market landscape.

6. Recommended Readings

Deal Name: MoEngage Acquisition of Aampe

- **Reading Material:** "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- **Why This Matters:** This book provides a comprehensive overview of the AI landscape and its implications for businesses, which is crucial for understanding MoEngage's strategic acquisition of Aampe. It contextualizes how AI-driven marketing solutions can transform customer engagement strategies, helping to illustrate the potential synergies and growth opportunities from this deal.

Deal Name: GTN and Koscom Partnership for Global Order Hub

- **Reading Material:** "Fintech Innovation: From Robo-Advisors to Goal Based Investing and Gamification" by Paolo Sironi
- **Why This Matters:** This reading explores the evolution of fintech solutions and their impact on financial markets, which is essential for analyzing the strategic partnership between GTN and Koscom. It highlights how integrated trading platforms can enhance market access and efficiency, providing a framework for understanding the significance of their collaboration in building Korea's Global Order Hub.

7. MACROECONOMIC UPDATE

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Key Data Points:

- Current Mortgage Rates: Approximately 6.5%
- Monthly Payment for Median-Priced Home: Increased from \$2,200 to \$1,900 during a brief dip below 6% mortgage rates
- Share of Income for Monthly Mortgage Payments: Decreased from 26% to 22% during the dip
- Average Mortgage Amount for First-Time Buyers: Increased to \$350,000 from \$240,000 in 2019
- Average Credit Score for Mortgages: Increased significantly over the past 5-10 years

Main Insights:

- First-time homebuyers face significant affordability challenges due to high mortgage rates and rising home prices.
- The housing market is experiencing a structural reset, leading to higher barriers to entry for potential buyers.
- The "lock-in effect" is causing existing homeowners to remain in their homes, limiting inventory and maintaining upward pressure on home prices.
- Demographic shifts, including an aging population and increased demand from younger generations, are complicating the housing landscape.
- The affordability crisis is impacting broader economic factors, including fertility rates and consumer spending patterns.

Market Commentary:

- "The housing market is resetting at a structurally higher barrier to entry." - Sarah Wolfe, Morgan Stanley
- "Fewer existing homeowners sell or trade up, which keeps home prices elevated." - James Egan, Morgan Stanley
- "Housing affordability is the number one driver pushing down fertility rates in America." - Sarah Wolfe, Morgan Stanley

TMT Sector Relevance:

- The challenges in the housing market may lead to increased demand for technology solutions in real estate, such as digital mortgage platforms and property management software.
- As consumers remain renters longer, there could be a shift towards technology-driven rental solutions, impacting companies in the TMT sector focused on proptech and fintech.
- The economic pressures on households may influence consumer spending on technology and telecommunications, as families prioritize essential expenditures over discretionary technology purchases.

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The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley